



Keller Williams Realty Black Hills

PURCHASE AGREEMENT



This is a legal and binding contract between the Buyer and Seller. If not fully understood, seek legal advice.

Agency Disclosure. Buyer and Seller acknowledge that they have received a copy of an agency disclosure.

☐ This is a Limited Agency Transaction. With the knowledge and understanding of the explanation of limited agency, Buyer and Seller authorize and instruct the Broker and Licensees to act as limited agents in this transaction by initialing below:

Buyer initials: Seller initials:

1. EARNEST MONEY DEPOSIT – PARTIES TO CONTRACT – PROPERTY:

Received from _____ Buyer, Earnest Money

☐ Certified Funds or ☐ Check in the amount of (\$ _____) _____ DOLLARS

will be payable to ☐ Listing Company or ☐ Escrow Closing Agent. Upon acceptance of offer, the earnest money must be tendered and deposited no later than ____ business days after acceptance of offer. If the agreement to purchase does not close, regardless of the circumstances, all parties must agree to the release of the earnest money. Until such agreement is signed or until entry of appropriate court order, the earnest money shall remain with the Listing Company or Escrow Closing Agent, and neither shall be liable for interest or damages relative thereto. The property is legally described as:

County: _____, State: _____

also known as: _____

Seller's name: _____

2. PURCHASE PRICE: The total purchase price to be (\$ _____) _____ DOLLARS. After earnest money is credited, the remaining balance is to be paid in full by the Buyer at closing.

3. MULTIPLE OFFERS: Buyer acknowledges when in a multiple offer situation, all responses are directed by the Seller and at their discretion.

4. APPRAISAL: This offer ☐ is or ☐ is not subject to the property appraising for at least the purchase price.

Appraisal ☐ will be ordered / ☐ will not be ordered until any home inspection contingency is removed.

5. FINANCING: This offer is contingent upon Buyer obtaining a new ☐ VA, ☐ FHA, ☐ Conventional, ☐ SDHDA, or ☐ _____, type of loan. A letter of Buyer's loan status from _____ ☐ is attached or ☐ will be delivered by _____ (date), or the contract may be voided at the option of the Seller with written notice to Buyer. Buyer shall pay the appropriate down payment required with this loan. In lieu of other instructions, Buyer is to pay any loan discount or funding fees, if applicable. Unless otherwise acknowledged, Buyer has made application in good faith to secure a new loan, pay all application fees, and to sign all financing documents without delay. Buyer also agrees to immediately deposit with the lender, at time of loan application, all required funds for credit report and appraisal; and authorizes lender to immediately order, unless otherwise agreed. Buyer reserves the right to obtain alternative financing as long as there are no increased costs to Seller.

☐ **Assumption.** See Attached Addendum.

☐ **Contract for Deed/Private Mortgage.** See Attached Addendum.

Initials: Buyer Seller:

☐ **Cash.** This is a cash offer. The remaining balance of \$ _____ will be paid at closing by certified check. Buyer ☐ is or ☐ is not obtaining cash for purchase from an asset distribution from the sale of a property, investments, or equity sale. A letter of verification from _____ regarding the availability of funds ☐ is attached or ☐ will be delivered by _____ (date), or the contract may be voided at the option of the Seller with written notice to Buyer.

6. FINCEN ACKNOWLEDGMENT: Buyer and Seller acknowledge that if this transaction is reportable under applicable federal laws and regulations to the Financial Crimes Enforcement Network (FinCEN) of the U.S. Department of the Treasury, a FinCEN Reporting Requirement Purchase Addendum shall be completed and made part of this Agreement. Both parties agree to provide all information required to comply with FinCEN reporting to the designated reporting party.

Buyer shall provide Seller with written notice at least ten (10) business days prior to closing of any changes to this Agreement that may trigger FinCEN reporting, including but not limited to: (1) Buyer's use of an entity or trust to purchase property; (2) Buyer's conversion of the transaction to an all-cash purchase or using a lender that does not maintain Anti-Money Laundering protections.

Upon acceptance of this Agreement, any assignment by Buyer to a legal entity or trust that triggers FinCEN reporting shall require Seller's prior written consent, which consent shall not be unreasonably withheld, conditioned, or delayed. Compliance with FinCEN reporting requirements shall not constitute grounds for Seller to terminate this Agreement.

7. HOMEOWNER INSURANCE: Offer ☐ is or ☐ is not contingent upon buyer obtaining proof of insurability on or before _____ (date), exclusive of the day of acceptance. If so contingent, and if Buyer has not provided written confirmation of such insurability or lack thereof to Seller within the specified time, then this contingency shall expire and all other terms of this agreement shall continue unaffected.

8. PERSONAL PROPERTY: Any personal property, free of liens and without warranty of condition, shall be transferred to Buyer by a separate Bill of Sale.

9. SALE OF BUYER'S PROPERTY:

A. ☐ **This offer is not contingent** upon the sale or close of property owned by the Buyer.

B. ☐ **This offer is contingent** upon ☐ the sale and close or ☐ close of the buyer's property located at (address including city & state) _____ ☐ within _____ calendar day(s) of acceptance of offer, exclusive of the day of acceptance or ☐ within the time specified for closing the Seller's property. The Seller shall have the right to continue to offer the property for sale and accept any offers under the following terms: **(NOTE: If offer is contingent, Buyer is to check one of the following:)**

1) ☐ Seller may accept other offers until the contingency clause is removed in writing by the Buyer. If another offer is accepted by the Seller, the Seller will notify the Buyer that the contract is no longer valid and deposits will be returned according to paragraph 1 of this agreement. If the Buyer's property sells within the above stated time, the Buyer agrees to buy and the Seller agrees to sell according to the terms agreed to herein.

2) ☐ Seller may only accept other offers subject to the rights of the Buyer. If the Seller accepts another offer, Seller will give the Buyer written notice of the fact. Within _____ hours of receipt of the notice, the Buyer will provide a written waiver of the contingency on the sale and close of the Buyer's property, or this agreement will terminate without further notice and deposits will be returned according to paragraph 1 of this agreement. Upon waiver of this contingency, Buyer warrants and will demonstrate to the Seller's satisfaction that the funds needed for closing will be available and the Buyer's ability to obtain financing is not contingent upon the sale and/or close of any property.

Initials: Buyer Seller:

3) ☐ Seller may accept back-up offers, subject to the rights of the Buyer, until the time period specified in paragraph 9B above has expired. After the above-specified time, this offer becomes void unless an extension is mutually agreed upon in writing.

10. TITLE: Merchantable title shall be conveyed by Warranty Deed or such other conveyance instrument, sufficient to convey good and merchantable title, properly signed and with the necessary State Transfer Fee paid by the Seller at the time of recording. At Seller's expense an owner's ☐ Standard, or ☐ Standard with material and labor lien (mechanic's lien) coverage, or ☐ Full extended coverage policy of title insurance to be provided (includes required full boundary survey). The monetary difference between a standard and full extended policy shall be paid by ☐ Seller or ☐ Buyer. Buyer to take title as: ☐ Married to Each Other, as joint tenants with rights of survivorship; ☐ Joint Tenants with rights of survivorship; ☐ Tenants in Common and not as joint tenants with rights of survivorship; ☐ Single Person; ☐ or _____

11. WALK-THROUGH INSPECTION: Buyer will have the right to conduct a walk-through inspection of the property within 24 hours prior to closing to verify that the mechanical systems are in working order and that the property is in substantially the same condition as on the date this agreement was written. All personal property, including refuse, not included in the purchase price shall be removed by the Seller prior to closing. Seller states that utilities will remain on and the heating, plumbing and electrical systems will be in working condition through the day of closing unless otherwise stipulated. *(NOTE: These representations are solely that of the Seller, and no responsibility or liability therefore is accepted by the selling or listing Broker or their agents and employees.)*

12. SELLER'S DISCLOSURE: (select one):

A. ☐ Buyer has received Seller's Property Disclosure Statement. This offer ☐ is / ☐ is not contingent upon Buyer receiving and accepting clarification of the following items within ____ calendar day(s) of acceptance of offer, exclusive of the day of acceptance.

B. ☐ The parties acknowledge that no disclosure statement is required by reason of the following: _____

13. LEAD-BASED PAINT STATEMENT: If the Seller's property has a residential dwelling, which was built prior to 1978, Buyer is notified that such property may present exposure to lead. See lead-based paint disclosure, if applicable.

14. INSPECTION OF PHYSICAL CONDITION OF PROPERTY: *Buyer and Seller understand the purpose of a property inspection is to inform and educate the Buyer of conditions and future maintenance of property, as of the date of inspection(s) and is not designed to be a point of renegotiation of the purchase price.*

A. ☐ **This offer is contingent** upon Buyer, at Buyer's expense, obtaining a property inspection and report which may include, but not limited to the physical, structural, mechanical, pest, geological, and environmental contamination conditions relating to the property.

B. **This offer is not contingent** upon inspection(s) related to the property.

☐ / ☐ **Buyer acknowledges** that it has been recommended that Buyer(s) engage, at Buyer(s) expense, the services of registered/licensed inspector(s) or a qualified professional to inspect the property.

C. ☐ / ☐ **Buyer hereby waives the option** to have an independent inspection to assess the condition of the property.

(NOTE: If offer is contingent, Buyer to complete the following:)

1. Deadline to provide notice of inspection results:

Should the results of the professional inspection(s) performed by a registered/licensed inspector or qualified professional be deemed unsatisfactory, Buyer shall provide to Seller or Seller's agent written notification of unsatisfactory conditions with supporting documentation on or before _____ **(DATE AND TIME)**, at which time both parties will attempt to negotiate a resolution. If Buyer fails to specifically approve or disapprove any inspections within the specified

Initials: Buyer Seller:

timeframe above, the Buyer shall be deemed to have approved and accepted the property in its present condition and all other terms of this Purchase Agreement will continue unaffected. Alternatively, following the inspection, the Buyer may submit a Cancellation of Purchase Agreement prior to this initial deadline and earnest money will be returned to Buyer subject to Paragraph 1 of this agreement.

2. **Deadline to negotiate upon receipt of inspection results:** The deadline to complete negotiation, if any, shall expire no later than _____ business days from the date written notification of unsatisfactory condition is received by Seller or Seller’s agent, excluding the date of notification. If no written agreement is reached by the expiration of this deadline, this contract shall be deemed null and void in its entirety, subject to Paragraph 1 of this agreement. Buyer may elect to waive their inspection contingencies in writing at any point prior to the negotiation deadline.

15. **WELL & SEPTIC:** A Well Water Test or a Pumping and Septic Inspection may be required.

16. **HOME WARRANTY:** Buyer and Seller understand there are home warranty plans available and that either party may secure such warranty at their expense.

17. **IMPROVEMENT LOCATION EXHIBIT OR SURVEY REQUEST:** (Buyer to check one of the following)

Cost to be paid as follows: _____% Buyer _____% Seller

☐ **New Improvement Location Exhibit.** *The purpose of an Improvement Location Exhibit is to provide a representation of the information gathered at the time of inspection. It is based on existing but not confirmed boundary evidence and is subject to any inaccuracies that a boundary survey might reveal. No property corners will be set and no warranty as to the location of the true boundary of the subject property is extended to the present or future owners or occupants.*

☐ **Boundary Survey and Improvement Location Exhibit.** *The purpose of a Boundary Survey is to provide verified boundary information as the basis for the improvement of the exhibition location.*

☐ **Boundary Survey Land Only.**

☐ **No survey or exhibit is required by Buyer.**

☐ **Other** _____

18. **TAXES/PRORATIONS:**

Buyer is aware that property taxes may or may not be based upon “Owner Occupied Status”. Buyer is aware that the Seller has the option to transfer the Owner-Occupied status to another South Dakota property.

Taxes, rents, road maintenance, water, sewer, and homeowners’ association fees, if any are:

☐ To be prorated to _____

☐ Not to be prorated.

Any fuel oil or propane stored on the property ☐ will or ☐ will not be prorated or removed.

Tax proration will be based upon the: ☐ previous year’s taxes ☐ agreed upon amount of \$ _____ ☐ most current county information ☐ estimated new construction value of property as of November 1 of previous year ☐ See other provisions

- **All general and special assessments levied against the Property shall be prorated between Seller and Buyer as of the date of closing, whether or not such assessments are then due or payable. Seller shall be responsible for the portion accruing prior to closing, and Buyer for the portion after closing. Any unpaid installments shall be prorated in the same manner as real property taxes.**

19. **POSSESSION/CLOSING:** Possession to go to Buyer _____. Closing will take place on or before _____ (date). Escrow closing fee, if any, to be paid as follows: Purchaser _____ Seller _____ unless required by VA to be paid by Seller. Closing service to be provided by _____

Initials: Buyer

Seller:

20. DEFAULT: In the event either party defaults under this agreement the parties shall have all remedies allowed under the law of the State of South Dakota including but not limited to the right to sue for specific performance or forfeiture of earnest money.

21. CHOICE OF LAW: The laws of South Dakota govern this transaction.

22. SELLER CONCESSIONS: At closing, Seller will credit to Buyer \$ _____ or _____% of the purchase price. The Seller Concession may be used for any Buyer fee, cost, charge or expenditure to the extent the amount is allowed by the Buyer’s lender and is included in the Closing Statement or Closing Disclosure at Closing. Examples of allowable items to be paid for by the Seller Concessions include, but are not limited to: Buyer’s closing costs, loan discount points, loan origination fees, prepaid items and any other fee, cost, charge, expense or expenditure. Seller Concession is in addition to any sum Seller has agreed to pay or credit Buyer elsewhere in this Contract.

23. COMPENSATION TO BUYER’S BROKER: Seller to pay Buyer’s Broker \$ _____ or _____% of the purchase price, plus applicable sales tax, at the closing to settle their contractual agreement with the Buyer Agent/Firm.

24. OTHER PROVISIONS:

25. INTEGRATION/MODIFICATION/DAYS: This writing contains the entire agreement between the parties and there are no other oral or collateral agreements of any kind except those contained herein. This Agreement may be changed only by written agreement signed by the parties. As used in the Purchase Agreement and any attachments, thereof, the term “day” means the entire day ending at 11:59pm, United States Mountain Standard Time (Standard or Daylight Savings as applicable).

This is a legally binding contract between the Buyer and Seller, if not understood, seek legal advice.

Initials: BuyerSeller:

Date _____ at _____ ☐ a.m. ☐ p.m.

This agreement shall expire unless written acceptance or a written counteroffer is signed and delivered to Buyer or

Buyer's agent on or before _____ ☐ a.m. ☐ p.m. on _____ (date)

X
Buyer's Name - Typed or Printed Buyer's Signature

X
Buyer's Name - Typed or Printed Buyer's Signature

The foregoing is ☐ accepted, ☐ countered (see attached counteroffer), or ☐ not accepted on
_____ (date) at ☐ a.m. ☐ p.m.

X
Seller's Name - Typed or Printed Seller's Signature

X
Seller's Name - Typed or Printed Seller's Signature

The following parties are listed for informational purposes only and they shall not be considered parties to the contract.

Listing Company Listing Salesperson

Selling Company Selling Salesperson: ☐ Seller Agent, ☐ Buyer Agent,
☐ Limited Agent, ☐ Transaction Broker, ☐ Appointed Agent